

BULGARIA
2008

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

Average annual gross wage earnings of full-time employees (sections B to N of NACE Rev. 2) in 2008 is 6509 BGN.

Source: Annual Enterprises' Survey on Labour, which is a census type.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

Right to pecuniary indemnification for unemployment shall have the persons, for whom insurance has been paid or is due for all insured social risks at least 9 months during the last 15 months before the termination of the insurance and who:

1. have been registered as unemployed at the respective territorial division of the Agency for employment;
2. have not been granted a pension for insured practice and age or professional pension for early retirement;
3. do not exercise any labour activity, for which to be subject of the obligatory insurance.

For the purpose of acquiring of right to pecuniary indemnification shall be considered also the time:

1. of the paid and non-paid leave for bringing up of a child;
2. of the paid and non-paid leaves for temporary inability to work and for pregnancy and childbirth;
3. of the non-paid leaves of up to 30 working days in one calendar year;

The pecuniary indemnification for unemployment shall be released on the basis of an application to the territorial division of the National Insurance Institute.

Obligatory insured for all socially insured risks are the workers and the employees hired to work for more than five working days or 40 hours during the calendar month, regardless of the character of the work, of the way of the payment and of the source of financing.

2.1.2 Contribution conditions

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The unemployment benefit shall be 60 percent of the average monthly insurance income of the persons for which insurance instalments have been paid or are due for the last 9 months, during which they have been subject to obligatory insurance for all insured social risks, and it could not be less than the minimum and more than the maximum set by the Law for the budget of the state public insurance in the reference year. For 2008 the minimum unemployment benefit is 100 BGN and the maximum - 200 BGN.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefit is not taxable.

2.4 *Benefit duration and waiting periods*

The pecuniary indemnification for unemployment shall be paid every month during the month, following the one for which it is due, depending on the duration of the insurance practice, for a period as follows:

Insurance practice (years)	Period for which benefit is received (months)
to 3	4
from 3 to 5	6
from 5 to 10	8
from 10 to 15	9
from 15 to 20	10
from 20 to 25	11
over 25	12

The unemployed persons, who have acquired right to pecuniary indemnification before the expiry of three years from a previous exercising of the right to indemnification for unemployment, shall receive the minimum unemployment benefit for a term of 4 months.

The persons, hired to work not full working time within the time of payment of the pecuniary indemnification and receiving remuneration smaller than the minimum salary, established for the country, shall have the right of indemnification for unemployment in extent of 50 percent of the due pecuniary indemnification for the remaining period of the payment.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

The right to pecuniary indemnification for **long lasting unemployment** shall also have the persons, who are registered as unemployed and meet the following conditions:

1. after receiving of unemployment indemnification they have stayed unemployed, and at least 12 months preceding the month of submission of the application, they have maintained their registration regularly in the respective territorial unit of the Employment Agency;
2. are of 60 years and 6 months of age for men and of 57 years and 6 months of age for women;
3. the sum of their age and insurance practice is up to 60 months less than the required for acquisition of right to pension;
4. have not been granted a pension;
5. do not practice labour activity, for which they are subject to obligatory insurance.

Pecuniary indemnification for long lasting unemployment shall be in the minimum amount and shall be paid monthly for a period not exceeding 30 months.

Unemployed persons shall have right to indemnification for long lasting unemployment only once.

2.5.3 *Others if applicable*

The extent of the pecuniary indemnification of the unemployed persons, who have worked **not full working time**, shall be determined proportionally to the agreed time. In this case the extent of the indemnification cannot be less than the respective proportional part of the determined minimum extent of the indemnification for unemployment.

The unemployed persons, which legal terms of employment have been terminated **upon their wish** or their consent shall receive the minimum extent of the pecuniary indemnification for unemployment for a term of 4 months.

3. **Unemployment assistance**

Any unemployed persons, who have been hired to work upon referral by the divisions of the National Employment Agency for a period not shorter than six months outside the limits of the nucleated settlement where the said persons have a registration, shall receive sums for travel expenses for a period not exceeding twelve months.

Any persons who start work without intermediation of the National Employment Agency, having been registered as unemployed and having received monthly social assistance benefits, shall be paid monthly sums for the period of employment not exceeding twelve months.

3.1 **Conditions for receipt**

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 **Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 *Tax treatment of benefit and interaction with other benefits*

3.4 *Benefit duration and waiting periods*

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Social support shall be received by persons, after all opportunities for self support and support from the persons, obliged to support them by law, are exhausted. The social support shall be resources in money and/or in kind which shall add or substitute the own income up to the basic vital needs or satisfy incidentally occurred needs of the supported individuals and families.

The social supports shall be: monthly, purposed, one time.

4.1 Conditions for receipt

Right to monthly support shall have persons or families whose income for the preceding month is lower than the determined differentiated minimal income. Basis for determining the differentiated minimal income shall be the guaranteed minimal income whose monthly amount shall be determined by an act of the Council of Ministers (55 BGN in 2008).

Monthly support shall be granted if the unemployed persons meet the following additional condition: the unemployed must be registered in the directorates "Employment bureaux" for at least 9 months before filing the application for social support and not to have refused offered job and their inclusion in qualification courses for qualification and re-qualification organised by the directorates "Employment bureaux".

Registration in the directorates "Employment bureaux" shall not be required for granting monthly support to:

1. a parent taking care of a child up to 3 years of age;
2. individual with handicaps with permanently reduced working capacity of 50 percent or over 50 percent;

3. persons taking care of a severely sick member of the family or for co-habitant sick person;
4. persons with psychic disorders certified by the respective specialised medical institutions;
5. persons under 18 years of age, who study in the day form of education in schools in the system of the national education.
6. pregnant women after the third month of their pregnancy.

For example: If two spouses are without jobs and only the husband is registered in the directorates "Employment bureaux", he hasn't right to claim for SA, as his wife is not registered as unemployed.

4.2 Calculation of benefit amount

The differentiated minimal income shall be determined as follows:

1. for persons over 75 years of age, living alone – 165 percent of the guaranteed minimum income (GMI);
2. for persons over 65 years of age, living alone – 140 percent of the GMI;
3. for persons over 65 years of age – 100 percent of the GMI;
4. for a person, cohabiting with another person (persons) or family, and for each of the spouses living together – 66 percent of GMI;
5. for a person up to 65 years of age, living alone – 73 percent of GMI;
6. for a person with durably reduced ability to work by 50 and over 50 percent – 100 percent of GMI;
7. for a person with durably reduced ability to work by 70 and over 70 percent – 125 percent of GMI;
8. for a child:
 - a) till 16 years of age and if he/she studies – till graduation of secondary education, including till graduation of XIII grade of a professional high school but not more than 20 years of age – 91 percent of GMI;
 - b) from 7 to 16 years of age and if he/she does study till graduation of secondary education, including till graduation of XIII grade of a professional high school, and has admitted 5 or more inexcusable absences for the respective month – 30 percent of GMI;
 - c) from 7 to 16 years of age, who does not study - 20 percent of GMI;
9. for an orphan child; for a child accommodated in a family of close friends or relatives or in receiving family; for a child with permanent damage – 100 percent of GMI;
10. for a parent bringing up alone child/children:
 - a) up to 3 years of age – 120 percent of GMI;
 - b) up to 16 years of age, and if he studies – till graduating of secondary or professional education, but not more than 20 years of age – 100 percent of GMI;
11. for pregnant women 45 days before childbirth and for a parent bringing up a child up to 3 years of age – 100 percent of GMI.

In the presence of more than one of the grounds the higher extent shall be applied.

4.2.1 Calculation of gross benefit

The amount of the monthly support shall be determined as a difference between the differentiated minimal income or the sum of the differentiated minimal incomes and the income of the persons or families for the preceding month.

4.2.1.1 Irregular additional payments

Right to receive social assistance for heating shall have persons or families whose average income for the preceding 6 month is lower or equal to the determined differentiated minimal income for heating (DMI) and satisfy certain criteria. For example DMI for heating is: for a person, living alone - 210% of GMI (115.5 BGN); for a person over 65 years of age, living alone – 274.8% of GMI (150.7 BGN); for a person with durably reduced ability to work by 50 and over 50 percent – 183.6% of GMI (100.98 BGN); for a parent bringing up alone child up to 18 years of age, and if he studies – till graduating of secondary or professional education, but not more than 20 years of age – 249.6% of GMI (137.28) ;for everyone of the spouses living together - 144% of GMI (79.2BGN); for a child up to 18 years of age, and if he studies – till graduating of secondary or professional education, but not more than 20 years of age – 157% of GMI (86.46BGN); for a child with permanent damage – 196.8% of GMI (108.24BGN).

The amount of this support is 285 BGN in 2008 (additional amount of 100 BGN was granted at the end of the year) and it concerns the whole heating season – from November till March (385:5=71.6 BGN monthly).

4.2.1.2 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

4.3 ***Tax treatment of benefit and interaction with other benefits***

The social support shall be exempt from taxes and fees.

4.4 ***Benefit duration and waiting periods***

The order for releasing or refusal of social support shall be announced in writing to the person, submitted application in 7 days term of its issuing.

Within a month after entering the application about social assistance for heating, a person in a responsible position carries out a social inquiry. If the application has been approved, the dead-line of payment is 30 days.

4.5 ***Treatment of particular group***

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

5.1 *Conditions for receipt*

Housing benefits are not universally available. Right to receive monthly benefit have only persons renting public (state or communal) owned accommodations, whose income for the previous month is by 150% of DMI and if he is: 1./ an orphan to 25 years; 2./ a person over 70 years of age, living alone; 3./ lone parent. The claimants who qualify for HB always pays part of the rent themselves and the other part is transferred from social funds to the state/commune budget.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

6.1 Conditions for receipt

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The level of the received monthly family allowance for a child until it graduates from school (for students up to 20 years old) is 25 BGN for each child. The average monthly income threshold per capita is 300 BGN. In case of a simultaneous birth of 2 and more children the parents are entitled to a monthly family allowance per child which is by 50% higher than the fixed monthly allowance per child. Under the new flat tax regime (in force from the beginning of 2008) previous tax relieves for children have been removed.

6.2.1.1 Irregular additional payments

Independently of the family's income, the level of the one-off benefit for a birth is differentiated as follows: for a first child – 250 BGN, for a second child – 600 BGN and for the third and the next ones – 200 BGN.

The amount of the monthly benefit for raising a child during the supplementary period of the paid leave (after the expiration of 315 days of the pregnancy and birth leave when the daily benefit is 90% of the average daily remuneration or the average daily insurance income on which social security contributions were paid or due), lasting to the moment the child grows up to 2 years of age is 220 BGN in 2008.

6.2.2 Income and earnings disregards

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Age	Fraction of children in nurseries and kindergarten
1	10%
2	38%
3	66%
4	72%
5	76%
6	82%

Compulsory schooling starts at the age of 7. Attending kindergarten or special class in primary schools is obligatory for 6-year-old children (pre-primary education).

7.1 Out-of-pocket childcare fees paid by parents

The fees for childcare at nurseries and kindergartens from public sector are set by local governments' decrees. The fees vary for different municipalities.

Fees for Sofia-city municipality: weekly kindergarten – 48 BGN per month; all day nursery and kindergarten – 40 BGN per month, a half-day kindergarten with feeding included -15 BGN, a half-day kindergarten without feeding included -10 BGN per month. This fee is acceptable for a parent working 40 hours per week.

The fees for private institutions, that run childcare, are established by themselves. They are vastly higher and are covered fully by parents.

Free of fee payments are: 1/ children with 50% and more limited possibilities for social adaptation; 2/ children whose parents are with more than 71% permanently reduced working capacity; 3/ children complete orphans; 4/ children of parent/parents perished at industrial accident, disasters or in the discharge of their duties; 5/ the third and the next children in large families.

In half free of fee payments are: 1/ children with one parent; 2/children whose parent serves his time as a soldier; 3/children one of whose parents is a full-time student.

When a family has 2 children got into a same or into different kindergartens, the fee for the second child is 50% reduced. The fee is 50% and 75% reduced respectively for the first and the second child in a large family.

Childcare fees are not tax deductible.

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

7.2.2.2 *Income and earnings disregards*

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. Employment-conditional benefits

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. Lone-parent benefits

See points: 4.2.(10); 4.2.1.1; 5.1; 7.1.

In cases where the absent parent does not pay any child support/alimonies, the state shall pay the maintenance when it has been adjudicated with a court decision entered into force in favor of Bulgarian citizen and is not paid regularly by the debtor in the formed executive case. It shall be considered, that the maintenance is not regularly paid, when for the executive case no sums are received for the full amount of two or more monthly installment, although distraint is imposed over the labour remuneration or other receivable and executive actions have been undertaken over the possessions of the debtor.

The maintenance shall be paid by the municipality, the sum being transferred every month directly to the claimant. The maintenance shall be paid in the full extent, determined with the court decision. The maintenance, paid by the state shall be for the account of the default debtor. He shall be obliged to restore it together with the lawful interest.

The ordinance for payment by the state of adjudicated maintenance is into force from January 1, 2003.

In the Regulation for implementation of the Law for social support is said that in the income of the persons or families for the preceding month are included adjudicated maintenances. (in force from 01.11.2001)

9.1 Conditions for receipt

9.2 Calculation of benefit amount

Reference date for all information is **July 1st 2008**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

9.3 ***Tax treatment of benefit and interaction with other benefits***

9.4 ***Benefit duration***

9.5 ***Treatment of particular group***

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. **Tax system**

10.1 ***Income tax***

Income tax is not differentiated according to the marital status and number of children.

Taxable income = Gross earnings – Employee's social security contributions

Example: Taxable income = 500 – 65 = 435 (see 10.3.1)

10.1.1 *Tax allowances and credits*

10.1.1.1 *Standard allowances*

In 2008 a 10% flat tax on personal incomes (without a tax-free range) was introduced replacing the previous progressive tax scale.

10.1.1.2 Standard tax credits

Personal social security contributions are deductible from the person's gross income.

10.1.2 *Income tax schedule (central government income tax)*

10.1.3 *State and local income taxes*

10.2 *Treatment of family income*

Taxes are paid on an individual basis.

10.3 *Social security contributions and payroll taxes*

Employee's social contributions and employer's social contributions are levied on the gross income before any tax deductions. Employee's social security contributions include insurances for: pension, disability, general disease, maternity, unemployment and health care. Employer's social security contributions include in addition the insurance for work accident and occupational disease, and for guaranteed receivables of workers and employees.

An upper limit is set for the monthly insurance income above which the amount of social security contributions remains the same irrespective of the level of employee's monthly earnings. The maximum monthly insurance income in 2008 is 2000 BGN.

10.3.1 *Contributions payable by employees and benefit recipients*

In 2008 the distribution of social security contributions between the employer and the employee is respectively 60% - 40%. The total social security contribution is 33.65% for workers under the largest third labour category. Distribution by funds is as follows: fund "Pensions"- 22%, fund "General disease and motherhood" – 3.5%, fund "Unemployment" – 1%, "Health insurance fund" – 6%, fund "Labour accident and occupational disease" – 0.4 – 1.1%, fund "Guaranteed receivables of workers and employees" – 0.5%.

Example:

Employee's social security contribution for average monthly gross wage earnings of 500 BGN is
 $13\% \cdot 500 = 65 \text{ BGN}$

10.3.2 *Contributions payable by employers*

Example:

Employer's social security contribution for average monthly gross wage earnings of 500 BGN is
 $20.65\% \cdot 500 = 103.25 \text{ BGN}$

Reference date for all information is **July 1st 2008**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

Reference date for all information is **July 1st 2008**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced during 2008

12.2 Future policy changes announced in 2008

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.